

Risk Management Policy

Field	Details
Organization	Acme Corp
Version	1.1
Last Reviewed	October 2022
Policy Owner	IT Department & Senior Management

1. Purpose

This policy defines the approach Acme Corp uses to identify, assess, and manage risks that could negatively affect the organization's operations, assets, reputation, or data.

2. Scope

This policy applies to all business units and departments within Acme Corp, including all systems, processes, and personnel.

3. Risk Identification

Department heads are responsible for identifying risks within their respective areas. All identified risks must be reported to the IT and Management teams for central review and recording.

4. Risk Assessment

Identified risks will be assessed based on two factors:

- **Likelihood** – How probable is the risk event?
- **Impact** – What is the potential consequence if the risk materializes?

Risks will be rated as **Low**, **Medium**, or **High**. The IT team and senior management will review all ratings together.

5. Risk Treatment

Based on the assessment outcome, one of the following treatment options will be selected:

Treatment	Description
Avoid	Eliminate the activity or process that causes the risk
Mitigate	Implement controls to reduce the likelihood or impact
Transfer	Use insurance or contractual agreements to shift the risk
Accept	Acknowledge the risk when the cost of treatment outweighs the impact

6. Risk Register

All identified risks will be recorded in a centralized risk register maintained by the IT department. The register will include:

- Risk description
 - Risk rating (Low / Medium / High)
 - Assigned risk owner
 - Selected treatment option
 - Current status
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7. Review Cycle

The risk register will be reviewed on a **quarterly** basis. This policy itself will be reviewed **annually**.

8. Roles and Responsibilities

Role	Responsibility
Department Heads	Identify and report risks within their teams
IT Department	Maintain the risk register and coordinate reviews
Senior Management	Approve risk treatment decisions and escalations
